(a) Demand-Pull Inflation

For the monetarists a demand-pull inflation is creation of extra purchasing power to the consumer over the same level of production (which happens due to wage revisions at micro level and deficit financing at the macro level). This is the typical case of creating extra money (either by printing or public borrowing) without equivalent creation in production/supply i.e., 'too much money chasing too little output'—the ultimate source of demand-pull inflation.

(b) Cost-Push Inflation

Similarly for monetarists, 'cost-push' is not a truly independent theory of inflation—it has to be financed by some extra money (which is created by the government via wage revision, public borrowing, printing of currency, etc.). A price rise does not get automatically reciprocated by consumers' purchasing. Basically, people must have got some extra purchasing power created that's why they start purchasing at higher prices also. If this has not been the reason, people would have cut-down their consumption (i.e. overall demand) to the level of their purchasing capacity and the aggregate demand of goods would have gone down. But this does not happen. It means every cost-push inflation is a result of excessive creation of money—increasing money flow or money supply.

For monetarists, a particular level of money supply for a particular level of production is healthy for an economy. Extra creation of money over the same level of production causes inflation. They suggested proper monetary policy (money supply, interest rates, printing of currencies, public borrowing, etc.) to check the situations of inflationary pressure on the economy. Monetarists cancelled the Keynesian theory of inflation.

III. Measures to Check Inflation

From the above-given reasons for inflation and the measures to control it, which measure the governments of the world should apply in their policy making? In practice, governments around the world distanced themselves from this debate and have been taking recourse to all possible options while